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Tikologo ya Kago le Theknolotši ya Tshedimošo

Unit 6: Marketing and Customer Service System

BSS 310 Engineering Management 2026

Lecturer: Prof. Michael Ayomoh



Quick Recap/Questions arising from Previous Lecture

The lecture addressed:

- basic understanding of the theories of logistics as applied to business systems
- deployment of the principles, characteristics and operations of a logistic system to the semester project.
- the interfacing behaviour of a logistic system with other systems and sub-systems up until the end of their life cycle.

Expected Learning Outcomes for the Current Lecture

At the end of this lecture you should:

- Understand the basic concepts and definition of a marketing system.
- Understand and be able to apply, analyse, evaluate, and create customised attributes of a marketing subsystem within a project or business system.
- Understanding the rules that govern customer service and care in business systems, including measurement factors for service quality as affiliated with the marketing department.
- Ability to apply the above knowledge to the semester project.

BLOOM'S TAXONOMY & EXPECTED LEVELS of COGNITION

BLOOM'S TAXONOMY



Presentation Outline

- Definition of Marketing Systems
- Characteristics of Marketing Systems
- Operations of Marketing Systems
- Customer Service System
- Measurement Factors for Service Quality

Definition of a Marketing System

- It is an action related to the business of publicity for the enhancement of sales of products or services, or for acceptance, including the conduct of research. (***Oxford Dictionary [Adapted]***)
- Marketing involves processes for creating, communicating, and exchanging offerings that have value for customers, partners, and society at large.

Some Characteristics of Marketing Systems

- **Plan for Marketing** (*Market Planning*)
- **Conduct marketing research:** *Under the marketing concept; knowledge and understanding of customer's needs, wants and desires is very vital.*
- **Market Deployment** (Advertisements, Announcements etc)
- **Orientate Customers**
- **Satisfy Customers**
- **Integrate Platforms** (*Integrated Marketing ability e.g., onboarding affiliate marketing, Takealot drop shipping, FBA (Fulfilment by Amazon)*)

Operations of Marketing Systems

Some vital and generic marketing tasks include:

- Marketing Strategy Formulation
- Campaign Development
- Content Management
- Customer Experience Management
- Pricing and offerings
- Product Differentiation

Product Differentiation vs Market Segmentation

Heterogeneity in the demand for goods and services has led to the disaggregation of the traditional single demand schedule

The distinction between product differentiation and market segmentation is that while the former is supply led (a production orientation) the latter is demand led and so constitutes a marketing orientation, i.e. the product is developed in full recognition and knowledge of the prospective users' needs.

Product Differentiation vs Market Segmentation

Ultimately each individual consumer might properly be regarded as a distinct market segment in his or her own right, but, with very rare exceptions, such an approach is unrealistic as the costs involved would undoubtedly exceed the potential users' willingness or ability to pay.

Levels of Product Existence that are Useful in Marketing

Core benefit: Deals with the problem-solving benefit that consumers are really buying, such as convenience

Actual product: Quality, style, branding, colour

Augmentation on product: Non-physical elements such as warranties, customer care, finance, installation, delivery, servicing etc.

Product Life Cycle: From Cradle to Grave

Customer Service

- Martin Christopher, Philip Schory and Tage Skjott-Larsen, *Customer Service and Distribution Strategy* (London: Associated Business Press, 1979).

Customer Service

Christopher et al. defined customer service as 'a system organised to provide a continuing link between the time that the order was placed and the time the customer receives the goods or services to satisfy them.

Customer Service

Service rendering is considered a marketing strategy. This would be discussed in the context of the following underlisted:

- Nature and scope of customer service.
- Pricing of Products/Services.
- Measurement Factors for Service Quality.

Nature and Scope of Customer Service

The sole purpose of the customer service is to meet the expectations of the customers so that they are **satisfied** with the outcome. These services are also available to **understand the queries of the customers** and ensure that they enjoy a **cost-effective experience** after purchasing any product from the respective company.

Pricing of Products/Services

Presented below are four price driving factors amongst others capable of aiding with the fixing of prices on products and services. They include:

- replacement cost,
- market comparison,
- discounted cash flow/net present value, and
- value comparison.

Pricing of Products/Services Contd...

Types of Pricing Strategies

- Demand Pricing
- Competitive Pricing
- Penetration pricing
- Cost-Plus Pricing
- Price Skimming

Measurement Factors for Service Quality

Measurement Factors for Service Quality...

Contd.

Gronross (1984) classified service quality into two categories: **technical quality**, primarily focused on what consumers actually received from the service; and **functional quality**, focused on the process of service delivery.

Measurement Factors for Service Quality...

Contd.

Tangibility

Since services are mostly tangible, customers derive their perception of service quality by comparing the tangibles associated with the services provided e.g the physical facilities, equipment, layout, personnel and communication materials amongst others.

Measurement Factors for Service Quality...

Contd.

Reliability

It is the ability to perform the promised service dependably and accurately. Reliability means that the company delivers on its promises about delivery, service provision, problem resolutions and pricing. Customers want to do business with companies that keep their promises, particularly their promises about the service outcomes and core service attributes.

Measurement Factors for Service Quality...

Contd.

Responsiveness

- It is the willingness to help customers and provide prompt service. This dimension emphasizes attentiveness and promptness in dealing with customer's requests, questions, complaints and problems.
- Responsiveness is communicated to customers by length of time they have to wait for assistance, answers to questions or attention to problems, flexibility and ability to customize the service to customer needs.

Measurement Factors for Service Quality...

Contd.

Assurance

- It means to inspire trust and confidence. Assurance is defined as employees' knowledge of courtesy and the ability of the firm and its employees to inspire trust and confidence. This dimension is likely to be particularly important for services that the customers perceive as involving high risk and/or about which they feel uncertain about the ability to evaluate.
- Trust and confidence may be embodied in the person who links the customer to the company, for example, the marketing department.

Measurement Factors for Service Quality...

Contd.

Empathy

It means to provide caring individualized attention to customers. Empathy is an additional plus that enhances the trust and confidence of the customers and at the same time increase their loyalty.

In this competitive world of business, customer's requirements are rising day after day and it's the companies' duty to meet the demands of customers, else customers who do not receive individual attention will search elsewhere.

Expected vs. Perceived Service Quality

- Expectation Exceeds [$ES < PS$ (Exceeded Quality)]
- Expectation Met [$ES = PS$ (Satisfactory Quality)]
- Expectation not met [$ES > PS$ (Unacceptable Quality)]

Learning Outcomes Evaluated

- Were the expected learning outcomes largely addressed to your satisfaction?
- Was there any eye-opening experience regarding your previous and current knowledge of marketing?

For further reading, the underlisted are the resource materials:

<https://www.ama.org/the-definition-of-marketing-what-is-marketing/>

Marketing Strategy and Management by Michael J. Baker

<https://wholesalesuiteplugin.com/different-types-pricing-strategies-can-use-wholesale-marketing/>

<https://www.ukessays.com/essays/marketing/dimensions-of-service-quality-servqual-model-marketing-essay.php>

The End

Next lecture

- Unit 7: Project Scope and Stakeholders



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